

**THE MAHARASHTRA REAL ESTATE REGULATORY AUTHORITY,
MUMBAI.**

COMPLAINT NO: CC006000000192570

Surendra Ramesh Sharma

... Complainant.

Appearance:

Complainant: In person.

COMPLAINT NO: CC006000000192487

Varinder Kaur Anand

... Complainant

COMPLAINT NO: CC006000000090041

Pranshant Dutta

... Complainant.

Appearance:

Complainant: Adv. Mr. S.B. Mohite.

Versus

JVPD Properties Pvt. Ltd.
(Serenity- Bldg 1)
MahaRERA Regn P51800011181

...Respondents.

Coram: B.D. Kapadnis,
Member II.

Appearance:

Complainants: Adv. Ms Sharada Dube Patil.

Respondents in all the cases:

Adv. Mr. Alok Kumar Singh &
Ms Sandha Dhiver

FINAL ORDER
18th February 2020.

The complainants have filed the complaints under Section 18 of RERA for getting refund of their amount paid to the respondents in respect of booking of their flats in respondents' registered project Bhagtani Serenity situated at Village Tirandaz, Taluka Kurla. The necessary information furnished by the complainants is as under-

Complainant/s	Flat No.	Amount Paid (Rs)
Surendra Ramesh Sharma	D- 601	64,00,000/- but 3,00,000/- have already been refunded/
Varinder Kaur Anand	1504	19,82,421/-
Pranshant Dutta	C - 401	29,06,728/-

Complainants contend that respondents issued the allotment letters contending therein that respondents shall complete the construction within the period of 42 months from the receipt of final commencement certificate from plinth level if the clearances are not obtained within the period of 9 months with the grace period of next 3 months, the allottees shall be entitled to terminate the allotment letters and claim refund. Respondents by their letter dated 24th July 2017 showed their inability to complete the construction and give possession as agreed. Respondents, made themselves liable to refund all the amount paid by the complainants with interest under Section 18 of Real Estate (Regulation and Development) Act, 2016 (RERA).

2. The respondents have filed the reply. Respondents contend that the complainants are the investors and they are not allottees because in Para 11 & 18 of the provisional allotment letters they have admitted that they are investors. The provisional letters for booking are subject to approvals and permissions to be granted by various authorities for construction. It is a contingent contract and therefore it cannot be enforced as the approvals and permissions required for construction have not been granted. Section 18 of RERA is not retrospective. Hence they request to dismiss the complaints.

3. Following points arise for my determination and findings thereof are as under:

Points.

Findings.

1. Whether the respondents failed to complete the project as agreed?

Affirmative.

2. Whether the complainants are entitled to get back their amount with interest?

Affirmative.

Reasons.

4. In Neelkamal Realtors Suburban Pvt. Ltd. - v/s- Union of India (W.P.No. 2737 of 2017) Their Lordships of Bombay High court have held that sections 12 and 18 of RERA are retroactive. Allotment letters disclose the fact that the complainants agreed to purchase and respondents agreed to sell flats and therefore I do not find that complainants are investors. I find that they are allottees as defined by section 2(d) of RERA, hence this Authority has jurisdiction to entertain these complaints

5. Complainants have relied upon the allotment letters issued by the respondents. On their perusal it becomes clear that the respondents made



false statement/representation that the project is viable and it would be completed.

6. Complainants have not received the letter dated 24-07-2017, but they have relied upon the letter received by other allottees of the same project disclosing the fact that for various reasons mentioned in the said letter, it is not possible for them to proceed ahead with the project and complete it. Hence, the complainants have proved that the respondents have failed to construct and complete the project as agreed. Respondents have failed to complete the project due to its abandonment. Hon'ble High Court has also referred to such situation where the promoters can claim frustration when they are unable to complete the project for no fault of their own, in the case of Neelkamal Realtors Suburban Pvt. Ltd. - v/s- Union of India (W.P.No. 2737 of 2017). In para 259 of the judgment, Their Lordships have mentioned that even in such a situation promoter will have to return the allottees' amount with interest. Hence the complainants are entitled for refund of their amount.

7. I have held that the complainants are entitled to get back their amount. They are entitled to get refund of those amount with the interest at prescribed rate from the date of payment till their refund. The prescribed rate of interest is 2% above the SBI's highest MCLR which is currently 8.25%. No separate compensation is pressed. The complainants are also entitled to get Rs. 10,000/- towards the cost of their complaints. Hence, the following order.

ORDER

a) The respondents shall refund the complainants the amount paid by them mentioned in the table with simple interest at the rate of 10.25% per annum from the date/s of their payment till they are refunded.

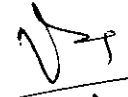


b) The respondents shall pay complainants Rs. 10,000/- towards the cost of their complaint.

c) The charge of aforesaid amount shall be on the respondents' property under project bearing C.T.S. No. 63A/5 and 64D "S" ward of village Tirandaz, Taluka Kurla, Mumbai, till the complainants' claims are satisfied.

Mumbai.

Date: 18.02.2020.


18.2.2020
(B. D. Kapadnis)
Member II,
MahaRERA, Mumbai.